NorthStar

HMO STUDY REPORT



The Health Insurance Gap: What's Stopping Nigerians from Getting Covered?

2024

by NorthStar

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Executive Summary

Health insurance is supposed to make life easier, right? But in Nigeria, that's not the case for most people. Despite its importance, less than 10% of Nigerians are covered by health insurance. So, what's the holdup?

This report dives into why so many Nigerians aren't signing up for health insurance. Spoiler alert: it's not just about money (though that plays a big role). We found that cultural beliefs, a lack of trust, and the differences between city and suburban access also keep people from signing up. Many still turn to traditional remedies, while others simply don't see the value.

But it's not all doom and gloom. By offering affordable plans, improving healthcare quality, and running better awareness campaigns, we can change this narrative. In this report, we lay out practical steps to make health insurance work for everyone, ensuring a healthier, more secure future for Nigerians.



"I don’t see the need for health insurance right now; herbs have always worked for me."

Ayomide Adejare, a resident of Lagos Mainland.



Introduction

"I don’t see the need for health insurance right now; herbs have always worked for me." – Ayomide Adejare, a resident of Lagos mainland.

For some Nigerians, health insurance feels like an unnecessary luxury. Instead, people like Ayomide rely on traditional remedies and out-of-pocket payments, trusting that their local solutions will keep them safe. With less than 10% of Nigerians covered by health insurance, this perspective is common. For those without coverage, the idea of paying for insurance often seems like a gamble they’re not willing to take.

But it’s not just the uninsured who are facing issues. Even those who have insurance are grappling with a different set of frustrations. “The coverage just doesn’t match up with the real cost of healthcare. Most insurance barely scratches the surface, and people still end up paying a lot out-of-pocket,” says Dr. Gbolahan, a doctor at a government hospital. For many with insurance, the reality is that they’re not fully protected. Outdated tariffs and poor partnerships between hospitals and insurers mean that people often have to pay more than they expected, leaving them frustrated and underserved.

These stories reflect the larger problem: health insurance in Nigeria isn’t working for most people. Whether it’s a lack of trust, limited access, or inadequate coverage, many Nigerians are opting out, countless have never enrolled for one, and those who do sign up often find themselves underwhelmed by what their policies offer.

This report provides depth into why health insurance uptake remains so low across Nigeria, breaking down the barriers—both financial and cultural—that prevent people from seeing its value. We spoke with everyday Nigerians, like Ayomide, who feel that health insurance doesn’t fit into their lives, and healthcare professionals, like Dr. Gbolahan, who highlight the system’s flaws from the inside.

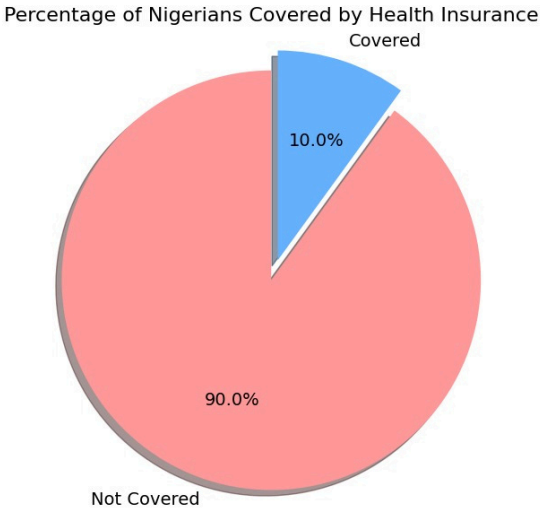
Our goal is simple: understand why so many are hesitant to sign up for health insurance and propose solutions that make it more accessible, reliable, and appealing. Whether it’s improving awareness, enhancing coverage, or addressing trust issues, this report lays out practical ways to close the gap and ensure that health insurance benefits more Nigerians.

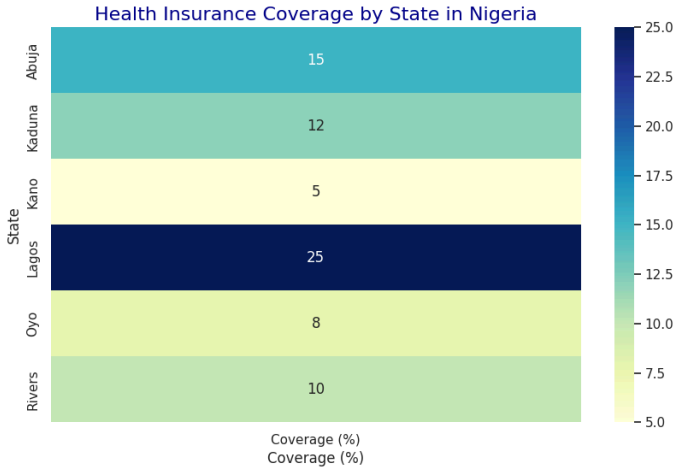
The Current Situation

Current Situation: Health Insurance in Nigeria

Nigeria's healthcare system has a big problem: most people are paying for healthcare entirely out of their own pockets. Over 75% of healthcare expenses are covered directly by individuals, making it one of the highest out-of-pocket health financing systems in the world (World Bank, 2023). This is a huge financial burden, especially in a country where 40% of the population lives below the poverty line (World Bank, 2022). Health insurance is supposed to ease this burden, but unfortunately, it hasn't reached most Nigerians.

Right now, less than 10% of Nigerians have health insurance, according to the latest data from the Nigeria Demographic and Health Survey (NDHS, 2018). Most of these people are formal sector workers, such as civil servants and corporate employees. For the remaining 90% of Nigerians, especially those working in the informal sector—like market traders, artisans, and small business owners—there is little or no access to affordable health coverage. This leaves millions vulnerable to the high costs of healthcare, forcing them to rely on personal savings, loans, or go without proper care.





Trends in Health Insurance Coverage (2008–2023)

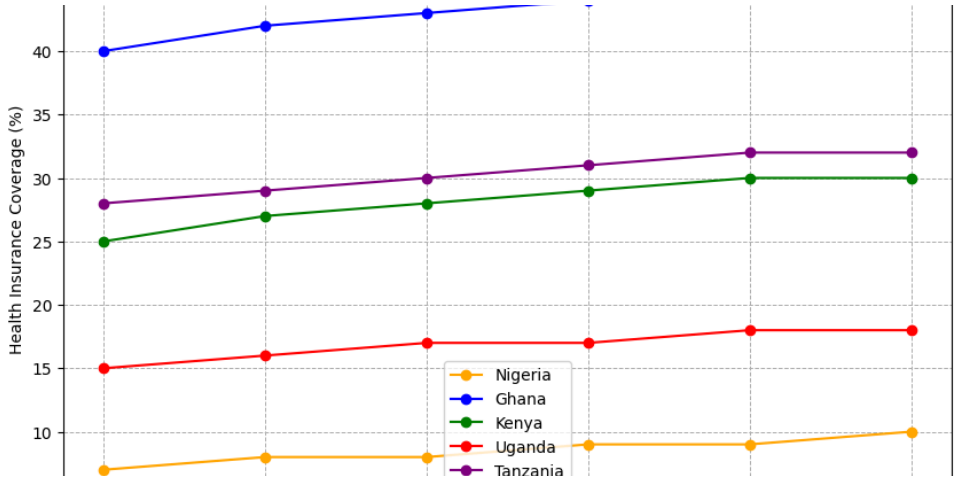
Health insurance growth in Nigeria has been disappointingly slow. Over the years, the number of people with any kind of health coverage has increased but not at an encouraging rate. Table 1 shows the trend in health insurance coverage based on data from the Nigeria Demographic and Health Survey (NDHS).

Year	Health Insurance Coverage (%)	Source
2008	5%	NDHS, 2008
2013	7%	NDHS, 2013
2018	9%	NDHS, 2018
2023	<10%	NDHS, 2023

The slow increase in coverage over the past decade shows that health insurance schemes, like the National Health Insurance Scheme (NHIS), have struggled to reach the broader population. While the NHIS focuses on formal sector workers, especially government workers, it leaves out a huge chunk of Nigeria's population, who are part of the informal economy.

Comparing Health Insurance Coverage: Nigeria vs. Other Countries

When you compare Nigeria's health insurance system to other countries, both in Africa and beyond, the gaps in coverage become glaring. Countries with similar economic challenges have managed to extend health insurance to larger portions of their population, leaving Nigeria behind with less than 10% coverage. The reasons for this disparity go beyond numbers and point to deep-rooted issues in governance, infrastructure, and cultural beliefs. Let's take a closer look at how Nigeria stacks up against other African countries and nations outside the continent that share similar socio-economic struggles.



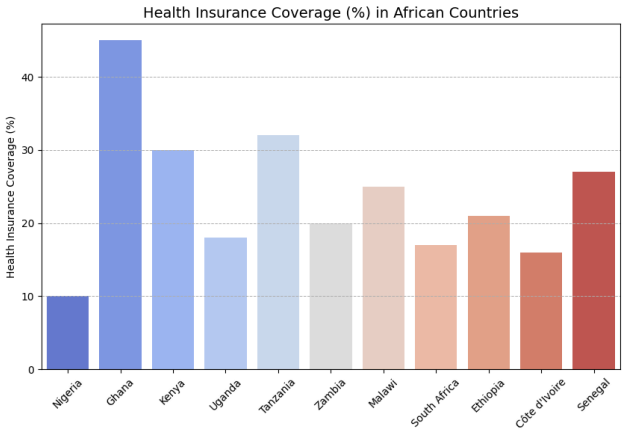
Health Insurance Coverage in Africa

The African continent has made varying strides toward health insurance coverage, with some countries excelling and others lagging behind. Nigeria’s health insurance coverage pales in comparison to many of its peers, who have developed inclusive schemes to target both formal and informal workers, rural and urban populations alike.

Country	Health Insurance Coverage (%)	Population (Millions)	Key Initiatives	Source
Nigeria	<10%	223	National Health Insurance Scheme (NHIS)	NDHS 2018
Ghana	45%	33	National Health Insurance Scheme (NHIS)	Ghana DHS 2022
Kenya	30%	55	National Health Insurance Fund (NHIF)	Kenya DHS 2022
Uganda	18%	45	Community-Based Health Insurance (CBHI), Private Insurance	Uganda DHS 2021
Tanzania	32%	63	National Health Insurance Fund (NHIF), CBHI	Tanzania DHS 2022
Zambia	20%	19	National Health Insurance Scheme (NHIS)	Zambia DHS 2018
Malawi	25%	20	Mandatory Health Insurance Scheme for formal sector, CBHI for informal sector	Malawi DHS 2020
South Africa	17%	59	Private Insurance Dominates, Government is rolling out National Health Insurance (NHI) in phases	South Africa DHS 2020
Ethopia	21%	126	Ethiopian Health Insurance Agency (EHIA), CBHI	Ethiopia DHS 2019
			Mandatory Health Insurance for formal	

Côte d'Ivoire	16%	29	sector, limited informal sector coverage	Côte d'Ivoire DHS 2021
Senegal	27%	17	Universal Health Coverage Plan (Couverture Maladie Universelle - CMU)	Senegal DHS 2019

When we look at the health insurance systems in these countries, we can see a pattern: those who have invested in community-based health insurance (CBHI) and targeted the informal sector have significantly higher coverage rates. Kenya, with 30% of its population covered under its National Health Insurance Fund, has been able to reach informal workers through flexible payment systems. Ghana's NHIS, on the other hand, has achieved 45% coverage by offering affordable plans to both the formal and informal sectors, a model Nigeria has struggled to replicate.



It's particularly interesting to look at Uganda and Tanzania, both of which have implemented community-based insurance schemes to reach rural populations. These schemes allow for flexible, low-cost insurance that caters to the specific needs of low-income and rural populations—an approach that Nigeria could adopt to bridge the gap in its own coverage.

In contrast, countries like South Africa and Ethiopia have a different challenge: South Africa's system is heavily reliant on private insurance, which excludes a significant portion of the population, while Ethiopia is still in the early stages of developing an inclusive national health insurance model, though its CBHI has shown promise in rural areas.

Health Insurance Coverage Outside Africa

When we extend our comparison to countries outside Africa, we see that many nations with similar economic challenges have still managed to develop broader health insurance systems. Like Nigeria, they face barriers such as limited healthcare infrastructure, cultural resistance, and low government investment, but some have implemented creative solutions to achieve more significant coverage.

Country	Health Insurance Coverage (%)	Populations (Millions)	Key Initiatives	Source
India	56	1428	Ayushman Bharat (PMJAY), Rashtriya Swasthya Bima Yojana (RSBY)	India DHS 2021
Bangladesh	18	171	Micro-Insurance for the Poor, National Social Security Strategy (NSSS)	Bangladesh DHS 2018
Indonesia	84	276	National Health Insurance (Jaminan Kesehatan Nasional - JKN)	Indonesia DHS 2022
Phillipines	53	114	PhilHealth, National Health Insurance Program	Philippines DHS 2021
Pakistan	39	240	Sehat Sahulat Program (SSP), Public-Private Partnerships in Health Insurance	Pakistan DHS 2018

Countries like Indonesia stand out with 84% health insurance coverage, largely due to its National Health Insurance program (JKN), which integrates public and private healthcare sectors to ensure wide-reaching coverage. Indonesia has been able to overcome the urban-rural divide by implementing universal health coverage that caters to its diverse population, something Nigeria can take note of, particularly as it faces similar geographic challenges.

India, with its 56% coverage under the Ayushman Bharat scheme, also provides valuable lessons. India's program specifically targets low-income households, offering them insurance that covers basic healthcare services. This model, built on a massive scale, addresses both urban and rural populations. Nigeria's informal sector could greatly benefit from a similar targeted approach that considers the financial realities of daily earners.

On the lower end of the spectrum, countries like Bangladesh and Pakistan struggle with similar issues as Nigeria—low government spending on healthcare and a lack of trust in the health insurance system. Despite these challenges, both countries have implemented micro-insurance programs aimed at the poor, an idea that Nigeria could potentially adopt to make health insurance more accessible to its informal workforce.

Socio-Economic Comparisons of Key Countries that compare to Nigeria: A Focus on Human Development, Economic Output, and Purchasing Power

Human Development Index (HDI)

The Human Development Index (HDI) values reveal significant disparities in human development among the countries analysed. South Africa and Indonesia lead with HDI scores of 0.717 and 0.713 respectively, showcasing relatively strong performance in education, healthcare, and income levels. These values sharply contrast with Nigeria (0.548) and Malawi (0.508), where progress in human development is much slower, reflecting challenges in access to essential services and economic stability. Ghana and Kenya (both around 0.601) display more moderate development, sitting between the extremes of high and low HDI countries. The wide range in HDI across these countries emphasises the varying degrees of development, which, in turn, affects their economic and social outcomes (World Bank, 2023). This emphasises the fact that the Human Development Index of a country is a structural issue that could affect insurance adoption, as evident in Nigeria.

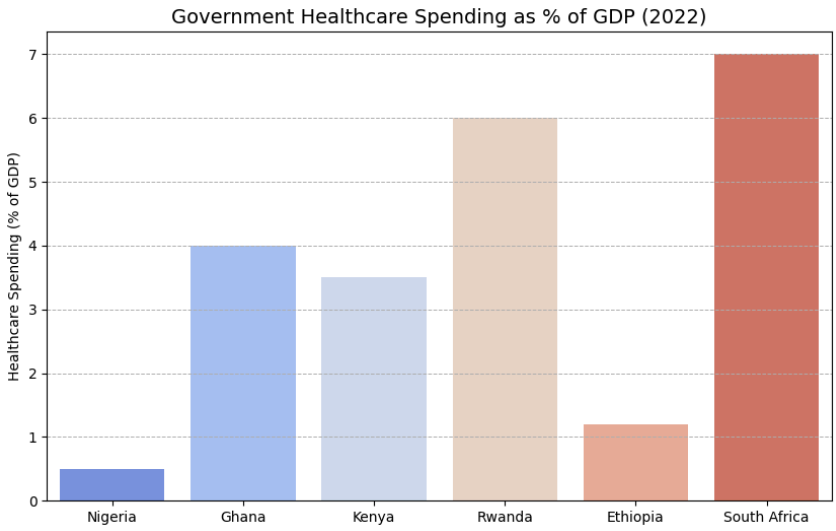
GDP per Capita (PPP)

In terms of economic output, GDP per capita (PPP) data paints a stark picture of inequality. South Africa and Indonesia, with PPP-adjusted GDP per capita figures of $14,789.7 and $15,048.4 respectively, exhibit much stronger economies compared to countries like Nigeria ($5,879.1) and Malawi ($1,321.7), which trail far behind. This economic gap highlights the more robust economic activities and standards of living in these higher-ranking countries. Meanwhile, countries like Ghana ($7,164.9) and Kenya ($5,699.8) are positioned midway, reflecting developing economies that are making strides but still face challenges. These differences in economic output underscore why wealthier nations have a larger portion of their

population insured, as financial resources directly affect healthcare accessibility (World Bank, 2023).

Consumer Purchasing Power

When examining consumer purchasing power, inflation plays a critical role in determining how far personal incomes stretch. Countries like Ghana and Pakistan struggle with extremely high inflation rates of 38.1% and 27.3%, respectively, eroding consumer buying power and worsening the economic burden on the population. In contrast, Indonesia (3.5%) and Philippines (6.2%) show relatively low inflation, indicating a more stable economic environment where incomes better align with living costs. Nigeria, despite its middling GDP per capita, faces severe inflation challenges (24.66%), further straining the daily lives of its citizens. These inflation rates correlate directly with healthcare affordability, as inflation reduces the effectiveness of income growth in covering essential services (World Bank, 2023).



The Way Forward for Nigeria

The comparisons with both African and non-African countries tell us that Nigeria's low health insurance coverage isn't inevitable—it's the result of a system that has failed to adapt to the needs of its people. Whether through flexible payment systems, community-based health insurance models, or integrating traditional medicine into modern healthcare systems, there are clear opportunities for Nigeria to bridge the gap.

Looking at countries like Ghana and Indonesia, one can't help but wonder: What's really stopping Nigeria from making these bold, necessary changes? If Ghana can reach 45% of its population through its NHIS, and Indonesia can boast 84% coverage, what's holding Nigeria back? The answer lies in a combination of weak political will, underfunded healthcare systems, and a general lack of trust in institutions.

For Nigeria to move forward, it needs to take decisive steps to implement health insurance schemes that are both flexible and inclusive, especially for those working in the informal

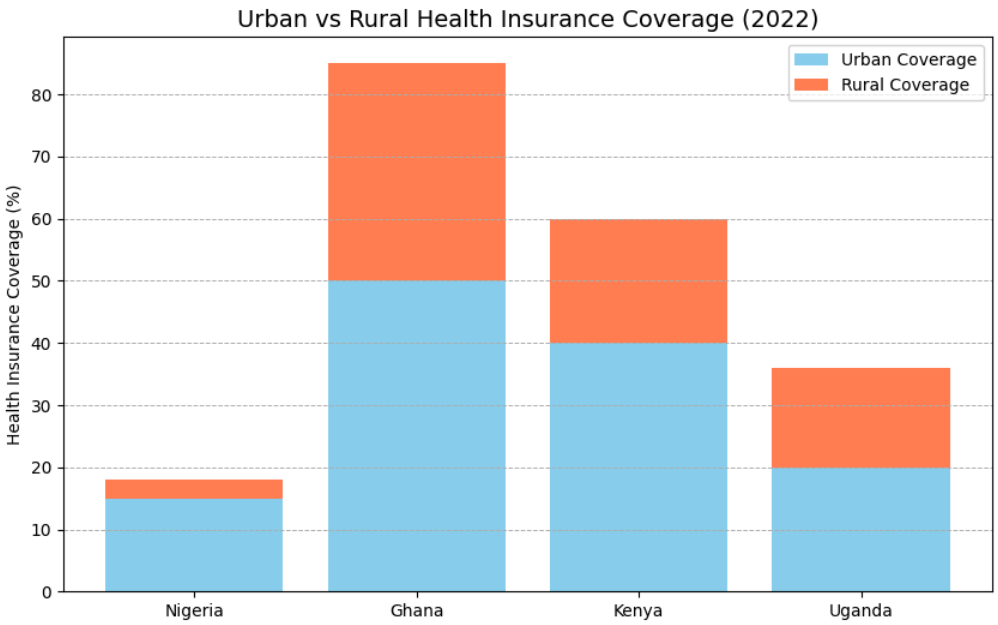
sector. As this report will further explore, the solutions are within reach—but it will take commitment and collaboration across both government and private sectors to make health insurance work for the millions of Nigerians who currently have none.

Urban vs. Rural Divide in Health Insurance Coverage

Geography plays a major role in determining who has access to health insurance in Nigeria. People living in urban areas like Lagos and Abuja are far more likely to have health insurance than those in rural areas. According to the NDHS (2018), people in urban areas are three times more likely to have health insurance than their rural counterparts. This disparity is mainly due to the lack of healthcare facilities in rural areas, where even those who are insured find it difficult to access proper medical care.

Location	Health Insurance Coverage (%)	Access to Healthcare Facilities (%)	Source
Urban Areas	15%	80%	NDHS, 2018
Rural Areas	3%	30%	NDHS, 2018

For many rural Nigerians, the idea of paying for health insurance doesn't make sense when they have to travel long distances to the nearest hospital. Without better healthcare infrastructure in these areas, it's unlikely that health insurance uptake will increase significantly.



Cultural Barriers to Health Insurance Adoption

Another major factor affecting health insurance uptake is the strong cultural reliance on traditional medicine, particularly in rural areas. Many Nigerians prefer herbal remedies and alternative treatments over formal healthcare. This has been a part of Nigerian culture for generations, and it reduces the perceived value of health insurance. According to the NDHS (2018), many rural dwellers only turn to hospitals when traditional remedies fail, making insurance seem unnecessary.

This cultural preference, combined with a general distrust of health insurance companies and formal healthcare systems, makes it difficult to convince people to invest in insurance. The lack of trust is further worsened by stories of hospitals refusing to accept insurance or offering substandard care to those on insurance plans.

Why Did We Look Into This?

The question of why so many Nigerians are not using health insurance is a big one. We wanted to dig deeper and figure out what's really holding people back. Is it because health insurance is too expensive? Or maybe it's tied to cultural beliefs? Could it be that people in certain areas have less access to healthcare, so they don't see the point of insurance?

We weren't just curious—we wanted to get real answers from real people. By exploring everything from economic status to cultural norms, we hoped to uncover the factors influencing whether or not Nigerians get insured.

What Did We Hope to Learn?

We had a few clear goals in mind when we started this research:

How Money Matters: We wanted to know how things like income, job type, and education affect whether someone gets health insurance. Does having more money or a steady job make a difference?

Age and Gender: Does age or gender play a role in deciding to get health insurance? For example, do younger people feel they don't need it as much? Are women more likely to sign up than men?

Culture and Tradition: How much do cultural beliefs, social norms, and traditional practices influence whether someone sees value in health insurance? Are people sticking to traditional medicine instead?

Location: Does where you live (Island vs. Mainland) affect your attitude towards health insurance? Do people on the island see more value in it than those on the Mainland areas?

Healthcare Quality: How does the quality of healthcare and the availability of insurance options impact people's decisions to sign up? If the healthcare system isn't reliable, do people still trust insurance to be useful?

By answering these questions, we hoped to get a clearer picture of what's really shaping health insurance adoption in Nigeria.

How Did We Go About This?

To get the answers we needed, we didn't just look at numbers—we spoke directly to the people living with these decisions every day.

Talking to People from Different Walks of Life

We used purposive sampling (which means we carefully chose who to talk to) to gather a variety of perspectives on health insurance in Nigeria. We made sure to include men and women of different ages, income levels, education backgrounds, and locations. This helped us get a well-rounded understanding of how different factors play into people's decisions to get health insurance.

Who Did We Speak With?

We spoke to 15 participants—a small enough group to dig deep into their stories but large enough to get diverse views. Our participants ranged from security guards to financial advisors, from those living in suburban areas to professionals in city centres.

How We Collected Information

We conducted semi-structured interviews, which allowed us to have meaningful conversations with people while still guiding them through specific questions. This method let us explore the themes that mattered most to them—whether that was affordability, cultural practices, or experiences with the healthcare system.

The interviews focused on the following:

How money, job type, and education influence insurance decisions

How cultural beliefs and traditional medicine affect insurance adoption

How people feel about the quality of healthcare available in their areas

What healthcare providers see as the main barriers to insurance

Breaking Down the Information

Once we gathered all the interviews, we used thematic analysis to find patterns. This involved coding the data (essentially tagging bits of information), grouping them into themes, and analysing these themes to understand the bigger picture. This process helped us see how issues like income, culture, and geography played out in people's health insurance decisions.

Keeping Things Ethical

We made sure to get informed consent from everyone involved, meaning they fully understood what we were doing and agreed to participate. We also respected their privacy—changing

names and removing any identifying details to protect their identities.



What Did We Learn?

Throughout this report, you'll hear from the participants themselves. Their stories and quotes are the heart of this study, helping us understand the barriers to health insurance and what can be done to improve uptake. We also compared our findings with other studies on health insurance to see how our results fit into the bigger picture.

5. Barriers to Health Insurance

For many Nigerians, health insurance feels like a luxury, a service out of reach or one that simply doesn't seem necessary. But behind this decision not to enrol lies a complex web of financial struggles, cultural practices, and distrust in the system. Our research uncovered multiple barriers to health insurance adoption, and in this section, we'll explore these challenges through the voices of those directly affected.

1. Economic Barriers: The Cost Factor

One of the most prominent barriers we encountered was financial. For many Nigerians, especially those working in informal sectors, paying for health insurance feels like a stretch. In their day-to-day lives, insurance premiums compete with basic needs like food, rent, and education. The reality is that health insurance is often seen as a service for wealthier individuals or those in stable, formal employment.

"I earn around 30,000 to 40,000 Naira per month, and with that, there's just not enough left to pay for insurance," says Godwin, a security guard living in Lagos suburbs. This sentiment is echoed by many Nigerians who live paycheck to paycheck and cannot justify spending on something they may not use immediately.

For those who are slightly better off, health insurance still seems like an uncertain expense. Peter Oke, a financial advisor, says, "I can afford it, but the question is—do I really need it? I don't get sick often, and when I do, I can handle it."

This financial barrier is exacerbated by the lack of flexible payment options. For workers who receive irregular income or daily wages, the idea of making regular insurance payments feels unsustainable. Ayomide Adejare, who works as a plumber, shared, "With the money I make, I can't be thinking about paying for insurance every month. I need to know I can get food first."

2. Cultural Beliefs: Traditional Medicine Over Insurance

Traditional medicine plays a huge role in healthcare for many Nigerians, particularly in rural and suburban areas. Generations of families have relied on herbal remedies and natural treatments, and for many, these feel more reliable and familiar than formal medical systems. This deeply embedded trust in traditional practices makes health insurance seem unnecessary.

"Sometimes I feel like the herbs are enough, so I don't see the need for health insurance," says Ade, a 31-year-old resident of Lagos. "We've been using them for generations. Why should I pay for insurance when I have these remedies at home?"

This reliance on traditional remedies is not limited to small ailments. In many cases, people turn to herbal treatments even for more serious conditions, only considering formal medical help as a last resort. Nkebet, a mother living in Lagos Island, explains, "I don't do agbo (herbal remedies), but my own traditional way for my children is for them to drink water first. I don't rush them to the hospital unless it's really serious."

The widespread belief in traditional healing, while valuable to the cultural fabric of Nigerian society, presents a major obstacle to health insurance uptake. For these individuals, the thought of paying for insurance doesn't align with their day-to-day reality, especially when their go-to solutions are readily available at little or no cost.

3. Trust Issues: A System That Doesn't Deliver

Even for those who understand the benefits of health insurance, distrust in the system runs deep. Many Nigerians have heard stories, or experienced firsthand, the inefficiencies of insurance companies—plans that don't cover essential services, hidden fees, or hospitals that are reluctant to accept insurance because tariffs are outdated.

"The coverage doesn't match up with the real cost of healthcare. Many insurance barely scratches the surface, and people still end up paying a lot out-of-pocket," explains Dr. Gbolahan, a doctor in a government hospital. This mismatch between what people expect and what they actually receive is a huge deterrent for potential subscribers.

Participants repeatedly expressed their frustration with insurance policies that fail them at critical moments. Joan, a brand manager living in Lagos Island, recounts, "The business tells you who they've partnered with, and you have to go with it whether it works for you or not. I still end up paying extra every time because the plan doesn't cover enough."

These stories are not unique. Dr. Lola, who works in health insurance, highlighted the difficulties in getting hospitals to accept insurance. "The problem with health insurance now is that most providers are reluctant to upgrade their tariffs, which no longer reflect the true cost of services. This creates issues with healthcare providers who are now reluctant to accept insurance."

Such experiences have created a pervasive lack of trust in health insurance, leading many to believe it's simply not worth the money or effort. As a result, even those who can afford insurance shy away from enrolling.

4. Geographic Divide: Urban vs. Suburban and Rural Areas

Nigeria's geography plays a significant role in the low adoption of health insurance. In urban centres like Lagos and Abuja, access to hospitals and clinics is relatively good. However, in suburban and rural areas, healthcare infrastructure is often lacking, and insurance seems irrelevant when there are few or no nearby facilities where it can be used.

"I live in Mushin, and the health centres around here aren't great. Why should I bother with insurance when the hospitals are so bad?" says Tobi Oyenekan, a teacher. This geographical divide means that in many areas, the demand for health insurance remains low because people simply don't have access to reliable healthcare.

Even when there are hospitals, they are often too far away or difficult to reach, especially for those living in more remote areas. Peter, who lives in the suburban Ebute Metta, puts it plainly: "If I'm going to spend hours just getting to a hospital, what's the point of paying for insurance?"

5. Awareness and Education: The Knowledge Gap

Finally, there's a major gap in understanding what health insurance is and how it works. Many Nigerians, particularly in rural areas, are simply unaware of the benefits insurance can offer or don't fully understand how to sign up. For some, the concept of paying regularly for something they may never use feels foreign or unnecessary.

"I've heard of insurance, but honestly, I don't pay much attention to it," says Horace, a resident of Lagos Island. "I don't really understand what it covers, so why should I bother?"

This lack of awareness is compounded by ineffective or infrequent public education campaigns. People like Ayomide are unaware of affordable options or how insurance could actually help them save money in the long run.

"I've heard about it on the radio, but no one has explained it properly. I wouldn't know how to sign up," says Godwin.

Conclusion: Breaking Down the Barriers

From financial constraints to deep-rooted cultural practices and a lack of trust in the system, the barriers to health insurance in Nigeria are significant. Overcoming them will require a mix of solutions, including better education, affordable payment plans, and efforts to rebuild trust between healthcare providers, insurers, and the people they serve. By addressing these challenges directly, Nigeria can move closer to universal health coverage and ensure more people are protected when they need it most.

6. Opportunities for Improvement

The barriers preventing Nigerians from adopting health insurance are significant, but they are not insurmountable. With the right strategies, we can overcome these challenges and create a more inclusive, effective health insurance system. The opportunities for improvement lie in several key areas: affordability, trust-building, education, and infrastructure development. By addressing these, Nigeria can move toward universal health coverage and improve the health outcomes of millions of its citizens.

1. Making Health Insurance Affordable and Flexible

One of the clearest paths to improvement is in making health insurance more affordable. While cost is the biggest barrier for many Nigerians, creating flexible payment plans could make health insurance more accessible, particularly for those in the informal sector.

Affordable health plans should be structured to allow irregular payments that match the income patterns of daily wage earners. Instead of fixed monthly premiums, insurers could introduce pay-as-you-go options or micro-insurance plans, where people pay for insurance in

small, manageable instalments. This flexibility would allow more people to sign up without feeling the financial strain.

"If there was a way I could pay when I have money, like when I've made a good week's earnings, maybe I would sign up," says Ayomide, a plumber in Lagos. This sentiment reflects the need for insurers to understand the financial realities of their target audience.

2. Building Trust: Transparent Coverage and Better Communication

Rebuilding trust in health insurance is crucial. Many Nigerians feel that insurance companies don't deliver on their promises, leaving them to pay out-of-pocket despite having coverage. To counter this, insurers need to be more transparent about what their policies cover and ensure that customers fully understand their benefits before signing up.

One solution could be creating simpler, easy-to-understand insurance packages that outline exactly what is covered, with no hidden fees or confusing terms. By simplifying the process and communicating clearly, insurers can start to regain the trust of Nigerians who have been let down by the system.

As Joan, a brand manager, puts it, "I need to know exactly what I'm paying for. If I'm going to spend money on insurance, it has to cover what I actually need." Insurers could also benefit from more frequent, proactive communication with their customers, updating them about changes in coverage or new services available through their plans.

3. Respecting Cultural Practices: Bridging Traditional Medicine and Modern Healthcare

While traditional medicine is deeply rooted in Nigerian culture, it doesn't have to be seen as a barrier to health insurance. Instead, there's an opportunity to bridge the gap between traditional practices and modern healthcare by creating culturally sensitive insurance plans.

Insurers could work with local traditional healers and community leaders to promote the idea that health insurance complements, rather than replaces, traditional medicine. For example, insurance packages could be designed to cover both herbal remedies and modern medical treatments, offering Nigerians the best of both worlds. This would help build trust and make insurance more relevant to those who primarily rely on traditional healing.

"I would be more likely to sign up if I knew it covered some of the things we already use at home," says Godwin, a resident of Lagos suburbs. This approach can help address the scepticism that health insurance is incompatible with traditional practices.

4. Expanding Healthcare Access in Suburban and Rural Areas

Geography remains one of the biggest barriers to health insurance adoption. To truly expand coverage, it's essential to improve healthcare infrastructure in suburban and rural areas. Without nearby hospitals or clinics, health insurance feels irrelevant to many.

The government and private sector can work together to expand access by building more health centres, improving the quality of care in existing facilities, and ensuring that health

insurance plans are accepted across a wider range of locations. Mobile clinics and telemedicine services could also play a significant role in bridging the gap, allowing people in remote areas to access healthcare without needing to travel long distances.

"If there was a good hospital closer to where I live, I would think about getting insurance," says Peter Oke, who lives in Ebute Metta. Improving access in these areas would not only make health insurance more appealing but also improve overall healthcare outcomes.

5. Awareness Campaigns: Educating the Public

The knowledge gap surrounding health insurance remains a significant barrier, especially in rural areas. Many Nigerians still don't fully understand how insurance works or why it's important. Effective, relatable public education campaigns could change this.

Health insurance providers, in partnership with the government, should run large-scale awareness campaigns that explain the benefits of insurance in simple terms. These campaigns need to be targeted to specific regions, using language and messaging that resonate with local communities. Radio, social media, and community events could be key platforms for reaching a broader audience.

Horace, who works in Lagos Island, mentioned, "I've heard of insurance, but no one really explains it. It's hard to see why it matters." By using relatable examples and focusing on how insurance can save people money in the long run, these campaigns can change perceptions and encourage more people to enrol.

Conclusion: A Path Forward

While the challenges are clear, so are the opportunities for improvement. By making health insurance more affordable, rebuilding trust, respecting cultural practices, expanding healthcare access, and launching more effective public education campaigns, Nigeria can take significant steps toward closing the health insurance gap.

There's a long road ahead, but with the right strategies, we can ensure that more Nigerians see health insurance as a valuable and accessible tool for protecting their health and financial security.

7. Conclusion and Recommendations

Health insurance in Nigeria is at a critical crossroads. Despite its potential to protect individuals and families from crippling medical costs, less than 10% of the population is covered, and millions of Nigerians continue to rely on out-of-pocket payments or traditional medicine. The barriers are clear: financial limitations, cultural beliefs, geographical challenges, and a deep distrust in the system. Yet, the opportunities for improvement are just as evident.

This report has shown that Nigerians are not rejecting health insurance out of ignorance or indifference, but because the current system is not aligned with their needs, expectations, or realities. To truly increase health insurance uptake, Nigeria must rethink its approach, starting with flexible, affordable plans, better communication and transparency, respect for cultural practices, improved healthcare infrastructure, and targeted public education.

Key Recommendations

Introduce Flexible, Affordable Health Insurance Plans

Health insurance must become financially accessible to the average Nigerian, especially those in the informal sector. Insurers should offer flexible payment options, such as pay-as-you-go or micro-insurance plans, allowing individuals to pay premiums based on their income flow.

These plans should target daily earners, market traders, and small business owners who need affordable yet reliable coverage.

Enhance Transparency and Build Trust

Insurance providers must prioritise clear, honest communication with their customers. Simplified policies that outline exactly what is covered, with no hidden fees or vague terms, are essential.

Regular updates, better customer service, and a focus on resolving claims quickly and efficiently will help rebuild the public's trust in health insurance.

As Dr. Gbolahan noted, "The frustration comes from not knowing what's covered until it's too late."

Culturally Relevant Insurance Solutions

Instead of viewing traditional medicine as a barrier, insurers should work to integrate it into their offerings. Health insurance packages that cover both traditional and modern medical treatments will appeal to a larger segment of the population, especially in rural and suburban areas.

Partnerships with community leaders and traditional healers could help bridge the gap between cultural practices and modern healthcare.

Expand Healthcare Infrastructure in Suburban and Rural Areas

The Nigerian government and private sector must work together to build more healthcare facilities in underserved areas. Without access to hospitals and clinics, health insurance remains irrelevant to many.

Mobile clinics, telemedicine, and other innovative healthcare delivery methods should be explored to extend the reach of health services.

Launch Targeted Public Awareness Campaigns

Effective education is key to increasing health insurance adoption. Public campaigns should be designed to demystify health insurance, explaining how it works and why it is important in simple, relatable terms.

Campaigns should be region-specific, using local languages and media platforms, such as radio and social media, to reach a broad audience. As Horace remarked, "No one really explains it in a way that makes sense to me." These campaigns should make insurance feel relevant and accessible.

Encourage Government Support and Regulation

The Nigerian government must take a more active role in regulating the health insurance market, ensuring that policies are fair, accessible, and beneficial to the public. Investment in healthcare infrastructure and a commitment to increasing the budget allocation for health services are also critical steps toward achieving universal health coverage.

Ensuring that health insurance providers are held accountable for delivering on their promises will help build public confidence in the system.

Looking Ahead

The road to universal health coverage in Nigeria is long, but the journey begins with taking practical steps to overcome the barriers highlighted in this report. By making health insurance more accessible, culturally relevant, and trustworthy, Nigeria can create a system where more people feel confident in signing up for coverage—and more importantly, trusting that it will be there when they need it most.

By following these recommendations, the Nigerian health insurance system can evolve into one that truly serves its people.